announced. Meanwhile, Mongolia has been a major beneficiary of Indian project assistance and is among the largest recipients of Indian lines of credit. Cultural links, including Buddhism, are also potent. All told, it is only natural that Eurasia should also feature in India's Indo–Pacific calculations.

Priority 8. Manage Competition with China

India's Act East Policy—including efforts at securing the Indian Ocean region, connecting with Southeast Asia, and deepening partnerships with balancing partners such as the Quad—have their own value and purpose. But they assume greater importance and urgency as part of an effort to manage China's rise. This does not mean 'containing' China in the manner in which that term was used during the Cold War. The current era is far more globalized. Instead, it will require building strength and resilience, maintaining clarity on interests, and building coalitions that give Beijing incentives to be more transparent, engage in equitable and sustainable commercial interactions, peacefully manage territorial differences, and adhere to establish international norms. For India specifically, it is a way to help manage the boundary dispute, balance trade and economic ties, mitigate regional security competition, and advance Indian objectives at international institutions. It will require developing the power and having the political will to sometimes impose costs.

Among other steps, responding to China's rise will require overall improvements to India's military preparedness as China modernizes and reforms its own forces. Steps to this effect were taken beginning in the mid-2000s and included the raising of mountain divisions in the Indian Army and the transfer of frontline fighter aircraft to the eastern sector. The building of better logistical infrastructure such as forward positioned airfields and improved roads, enhanced intelligence (with support from satellites and unmanned aerial vehicles), and the acquisition of lightweight artillery and heavy-lift and high-altitude transport aircraft have all been part of the effort to improve defensive capabilities along the border. The